



# Likeability and its effect on outcomes of interpersonal interaction



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## ABSTRACT

Interpersonal interactions between boundary spanning individuals have a fundamental role in how inter-organizational interactions develop. This study examines interpersonal interaction and the effects of likeability on two attributes that are central to many organizations: commodity prices as negotiation outcomes and a partner's willingness to engage in collaboration. Specifically, we aim to answer: how does interpersonal likeability impact negotiation outcomes in terms of commodity prices and how does it affect a partner's willingness to engage in collaboration? Based on social exchange theory we draw hypotheses that are tested using data gathered from experiments with 220 participants. The findings indicate that likeability significantly influences a partner's willingness to engage in collaboration but does not significantly influence negotiation profits. The implications of these findings for research and practice are discussed.

## 1. Introduction

The importance of effective interorganizational interaction has been well-documented in the literature. The way in which partners perceive each other in these interactions, has been argued to be an important predictor for the performance benefits of both parties (e.g., [McCarter & Northcraft, 2007](#)). Concepts such as trust, power, attractiveness and satisfaction ([Cox, 2001](#); [Ireland & Webb, 2007](#); [Pulles, Schiele, Veldman, & Hüttinger, 2016](#)) play a crucial role in how organizations interact. However, business relationships tend to be conceptualized on an organization-to-organization level ([Hald, 2012](#); [Haytko, 2004](#)) in which the role of interpersonal interaction is often neglected.

Personal relationships and interactions between “boundary spanners” are argued to have a fundamental role in the interaction between organizations ([Ellegaard, 2012](#); [Gligor & Autry, 2012](#); [Haytko, 2004](#)). Indeed, earlier work addressed how economic exchanges are embedded in social systems ([Granovetter, 1985](#)) and how social ties can influence economic outcomes both positively and negatively ([Uzzi, 1997](#)). During negotiations, for example, representatives from each organization seek agreement on items such as pricing and delivery terms which influence the organization-level profits. Therefore, to increase our understanding of interorganizational relationships, it is important to understand the human behavior in interpersonal interaction ([Bendoly, Donohue, & Schultz, 2006](#)). Studies that do focus on the effects of interpersonal interactions in a business setting mainly focused on basic negotiation strategies ([Krause, Terpend, & Petersen, 2006](#); [Thomas,](#)

[Thomas, Manrodt, & Rutner, 2013](#)), the effects of gender ([Faes, Swinnen, & Snellinx, 2010](#)), trust ([Huang, Gattiker, & Schwarz, 2008](#)) or cultural differences ([Ribbink & Grimm, 2014](#)). However, what seems to be missing is an examination of more nuanced aspects such as personal characteristics (similarly observed by [Thomas et al., 2013](#)).

Intuitively, personal liking can be expected to have an important influence on how individuals interact. Indeed, anecdotally likeability is often raised as a substantial factor in business related interactions ([Ellegaard, 2012](#); [Mandják, Szalkai, Neumann-Bódi, Magyar, & Simon, 2016](#)). However, with few exceptions ([Abosag & Naudé, 2014](#); [Doney & Cannon, 1997](#); [Tellefsen & Thomas, 2005](#)) the question of how likeability influences the outcomes of interpersonal interaction in a business context remains unaddressed. What is specifically missing is an examination into the effects of likeability on two attributes that are central to many organizations: commodity prices as negotiation outcomes and a partner's willingness to engage in collaboration. Therefore, this paper's main research question is: How does interpersonal likeability impact negotiation outcomes in terms of commodity prices and how does it affect a partner's willingness to engage in collaboration? We aim to answer this question by building on social exchange theory to theorize on likeability and its effects in an exchange interaction. We test our hypotheses using an experimental design to simulate an interaction between buyer and supplier.

In the following, we first discuss current studies on interpersonal interaction and conceptualize the likeability construct. Then, we discuss social exchange theory and our hypotheses. The methodology section describes the experimental design and the adopted negotiation

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